July 1, 2026

Dear Editors of The R Journal,

We are pleased to submit our manuscript, "tidyfinance: Transparent Factor Construction for Empirical Asset Pricing," for consideration as a contributed research article.

Empirical research in finance and the quantitative social sciences depends on a data-preparation pipeline that is notoriously opaque: turning raw accounting and return data into research-ready factor portfolios involves dozens of consequential, undocumented choices, and results often cannot be reproduced. The *tidyfinance* package, available on CRAN, makes this pipeline transparent and reproducible. It exposes every construction decision as a configurable parameter with a documented default, and provides a unified `download_data()` interface and a set of small, composable functions for the steps in between. We illustrate the workflow end to end by reproducing a well-known asset-pricing factor from raw data. The manuscript focuses on the package's design and interface rather than on asset-pricing methodology, which it covers only as far as needed to show what the package does.

We believe the article fits The R Journal on three counts. First, it is a package-description article that goes well beyond the package vignette: where the vignette demonstrates the workflow, the manuscript sets out the design rationale, makes the case for transparency in a pipeline the field otherwise leaves implicit, and reproduces a well-known asset-pricing factor end to end while *varying* construction choices to show how each moves the result. The package turns implicit, hand-coded conventions into auditable, versioned, tested, and documented code, and already underpins open teaching materials used in graduate finance and data-science courses. Second, the contribution is as much about R software design as about finance, and it fills a real gap in the R ecosystem: a unified `download_data()` interface and a set of small, composable, pipe-friendly functions expose every construction decision as a configurable parameter with a documented default, so a single default call reproduces standard practice while overriding any one choice takes a single argument. Data-acquisition packages such as *frenchdata*, *quantmod*, and *tidyquant* stop at raw downloads, and downstream analysis packages assume a clean panel already in hand, whereas *tidyfinance* exposes the construction layer in between — a design of interest to R users and developers beyond this application area. Third, although the package connects to the subscription data (CRSP, Compustat via WRDS) that this field treats as standard, it equally serves the free and open sources most R users can access — Ken French's Data Library, FRED, and Yahoo Finance — and ships a built-in pseudo-data generator, so the package, and this manuscript itself, are fully runnable and reproducible without any subscription: the paper compiles end to end from a single R Markdown source, and the pseudo-data path lets a reader without WRDS rebuild every number, table, and figure.

We confirm that this work is original, has not been published previously, and is not under consideration for publication elsewhere. All code and data workflows are publicly available, and the results in the manuscript are reproducible.

On behalf of all authors, thank you for considering our submission.

Sincerely,

Christoph Frey (Lancaster University)
Christoph Scheuch (Humboldt University of Berlin)
Stefan Voigt (University of Copenhagen and Danish Finance Institute)
Patrick Weiss (Reykjavík University)